

Phase 4: Ratios

Liquidity, leverage, profitability, and efficiency, computed on a validated model.

The four families

Family	Question it answers
Liquidity	Can the company cover short-term obligations? (current, quick, cash ratios)
Leverage	How much of the balance sheet is debt-financed? (debt/equity, interest coverage)
Profitability	How much of revenue turns into profit, and profit relative to capital? (margins, ROA, ROE)
Efficiency	How fast do assets and working capital turn over into revenue? (turnover, days ratios)

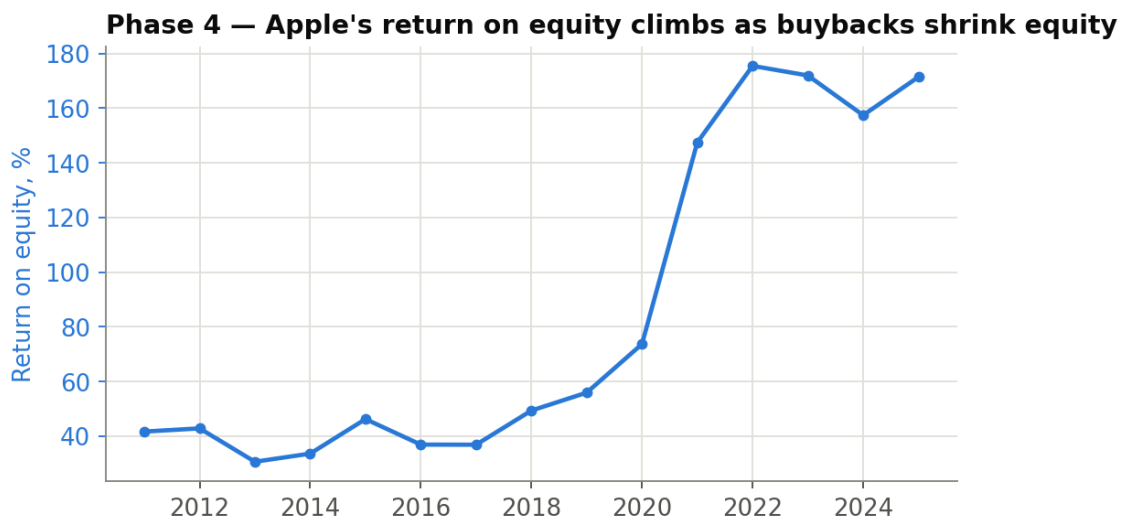
Why some ratios need a prior year, and what happens without one

Net income accrues over an entire fiscal year, but a balance sheet total is a single point-in-time snapshot. Dividing this year's net income by this year's ending total assets (or equity) compares a flow to one arbitrary instant, which becomes noisy exactly when the balance changed a lot mid-year. Averaging the beginning and ending balance is the standard fix for return-on-assets, return-on-equity, and every turnover/days ratio here -- and it means those specific ratios come back None, not a misleading ending-balance-only number, whenever a prior period isn't available. Everything else (liquidity, leverage, margins) only needs the current period.

What the same ratio can mean two different things

Apple's return on equity climbed from roughly 40% in FY2011 to 175% by FY2022. Read naively, that looks like a dramatically more profitable business. It isn't, mostly: equity is the denominator, and years of share buybacks shrank it faster than profits grew. A rising ROE driven by a shrinking denominator is a different story than one driven by a growing numerator -- the ratio alone can't tell you which, you have to look at what moved.

STATEMENT ANALYZER — PHASE 4



Apple's return on equity, FY2011-FY2025 -- the climb tracks buyback-driven equity reduction more than profit growth.

A genuinely useful number: the cash conversion cycle

Apple's FY2023 cash conversion cycle is -70.9 days: it collects from customers in about 27 days, turns over inventory in about 10, but doesn't pay its own suppliers for about 108 days. The negative result means Apple is, in effect, financed by its suppliers rather than the other way around -- a real, well-known structural advantage of its scale and supplier leverage, and a case where the ratio genuinely does tell a clean story on its own.

KEY TAKEAWAY

A ratio is a lens, not a verdict -- the same number can be read as "strong business" or "financial engineering" depending on which side of the fraction actually moved. Computing the ratio is the easy part; knowing what moved is the actual analysis.